Where This Is Going

The possible endings, the players, and the game between them

A five-page summary for Dad. October 2026. Drawn from "Not the Loom" and the longer family letter.

Dad, this is the short version of the part of my work you asked about: where the AI economy could end up, and why I think it ends up where I say. The personal-finance material is in the longer letter. Everything here is my judgment, with the odds rounded to the nearest five percent because anything finer would be false precision.

The premise

Every machine before this one did one kind of thing. A loom weaves; it does not negotiate, diagnose, design, or teach. So weavers lost and their children became machinists, clerks, and eventually programmers, and wages ended up higher. That is why economists say "we have been here before," and for two hundred years they were right. It worked because each machine left most human work untouched, so there was always somewhere to go. AI is the first technology for which nobody can confidently name a category of thinking work it will not eventually do well, with robots following on the physical side more slowly. And the cost runs the wrong way: when work moved to India and China, wages there rose until the advantage shrank, while the price of a given level of AI capability falls ten to forty times a year.

What this changes first is not the number of jobs but the price of work. Once a machine can do a task for a fraction of the cost, the person keeps the job only by accepting pay near the machine's cost, and the people who move to the tasks machines cannot yet do all arrive at once, so pay there falls too. The first evidence is in: Stanford economists found this August that young people entering the most AI-exposed professions are being hired 19 percent less than their peers, up from 13 percent a year earlier, while older workers in the same jobs are so far being kept.

The useful picture is two economies. The capital economy is whoever owns the machines and what the machines still need (energy, land, the grid); asset values rise there, and anyone with an index fund owns a sliver of it, since ten companies are now about 40 percent of the stock market. The labor economy is everyone paid for work, now priced against the machine. The two are joined in two places. The capital economy needs the labor economy to keep buying, which a labor economy with falling income cannot do. And the state can fill the gap with transfers, as it already does: Social Security, Medicare, and Medicaid together are about a quarter the size of all wages, so roughly one dollar in four of wage-plus-transfer income already comes from the state. The most important number for the next fifteen years is whether that share rises toward one in two, and whether the country accepts it.

One uncomfortable comparison, which I mean in a narrowly economic sense and not a moral one. The only large economies that ever ran on labor that could do nearly any job, cost its owner almost nothing, and could not bargain were slave economies: the old South, and Roman Italy. The free workers who had to compete with that labor saw their wages collapse; the economy split into owners and everyone else; the opposition that formed ran on self-interest first and conscience later; and the owners held the loyalty of the people they were impoverishing by offering status in place of money. The arrangement ended only by buyout (Britain paid its slaveholders), by war (we did not), or by decades of delay (Brazil). Each of those features has a visible echo today, and the endings below are built from them.

First, the chance that I am wrong

About 25 percent, with a range of 15 to 35. The technology could stall short of a general substitute. In-person work that depends on trust and care could be a far larger share of the economy than I assume. And unlike the people in the historical cases, we can vote. In that world the old pattern holds, new work appears, pay rises with productivity, and the rest of this paper does not happen. The rest of this paper is about the other 75 percent.

The six endings

If the premise holds, the country settles by about 2040 in one of these places.

Ending	Odds	What happens	What it would feel like
Managed dependency	40% (30 to 45)	The big AI companies and the federal government fuse. A large and growing share of income is paid by the state, funded by taxes on the machine economy. Ownership stays where it is. Patriotism and status do the political work wages used to do.	Materially fine for most, far better for asset owners, humiliating for people who wanted to work, much less free. Rome's solution: a grain dole, games, and an emperor.
Durable fragmentation	20% (10 to 30)	Nothing resolves. States, courts, and Congress fight over rules; protections are patchy; transfers are partial; the economy stagnates without collapsing.	A long, grinding muddle. Where you live matters a great deal.
Compensated restructuring	15% (5 to 20)	A crisis forces the issue, and the response is the British route: the public takes real ownership in the AI economy and pays it out; the old owners keep part of their wealth and lose control.	A hard few years, then the broadest recovery of any ending.
Capability diffusion	10% (5 to 15)	Freely released models and cheap chips, much of it from China, give everyone near-frontier AI. The owners' advantage erodes from below; gains go to lower prices rather than to a few companies.	Pay still falls, but things get cheap and small operators can compete. Bad for the giants.
Prolonged disorder	10% (5 to 15)	A crisis arrives and nothing coherent replaces what breaks. Transfers fail, Social Security takes its scheduled cut, markets fall and do not recover.	The one ending bad for everyone, owners included.
AI as its own actor	5% (5 to 15)	The systems develop goals that are not their owners' goals.	Unknowable; probably pushes toward diffusion or restructuring.

A crisis is a route, not a destination. If the premise holds, I put roughly even odds on a serious crisis before 2040: a collapse in spending as pay falls faster than transfers rise, a financial crash, or a political rupture. Most crisis routes end in managed dependency, the solution the powerful can agree on fastest; some end in restructuring, which needs a crisis to happen at all; some end in disorder.

What 2031 probably looks like. About even odds on the muddle, with the big companies and the executive branch steadily consolidating and white-collar displacement no longer deniable; perhaps one in four that the managed arrangement is already in place; one in five that we are in acute crisis.

What the numbers look like. I built a small simulation of the two economies and ran it under each ending, then a few hundred more times with the assumptions varied. In the managed-dependency ending, by 2036, real pay for office and professional work is around 72 (with 2026 at 100), the income of all households together around 120, the state's share of household income around 40 percent, and a 60/40 retirement portfolio around 174. If the old pattern holds instead, those numbers are 115, 126, 24 percent, and 146. The pie grows in every ending but disorder; the problem is the split: asset owners do better than in the old world, and people who sell their work do much worse.

The players and what each one wants

Player	Prefers	Fears most	Why
The AI companies	Managed dependency	Disorder; diffusion	Keeps the rents and a state partner; diffusion competes the rents away
Chip and computing suppliers	Managed dependency	Disorder	They sell to every lab; they need only the race to continue
The big platforms	Managed dependency	Disorder	A dole keeps their customers buying
The White House	Managed dependency	Disorder	Fusion with the companies maximizes executive power
Congress	Restructuring	Disorder	Central to a settlement; sidelined by a fusion
California and Massachusetts	The muddle	Managed dependency	Keeps their authority; preemption removes it
Companies that use AI	Managed dependency	Disorder	Cheap substitute for labor, customers funded by transfers
People with index funds and pensions	Managed dependency	Disorder	Asset values high; a crash without recovery is the one ruin
Office and professional workers	Restructuring	Disorder	Ownership and an income floor, versus neither pay nor transfers
Hands-on and in-person workers	Restructuring	Disorder	Jobs last longer, but pay is pressured from above
China	Diffusion	AI as its own actor	Its free-model strategy sets the world's floor
Universities	Restructuring	Disorder	Public investment, versus closures

Notice the pattern. Every powerful player prefers the same ending, and it is one they reach without agreeing on anything; the people who work prefer a different one, and reaching it requires them to organize. That is most of why managed dependency gets 40 percent.

Four small games

A game, in the economist's sense, is any situation where what is best for me depends on what you do; an equilibrium is a pair of choices where neither of us gains by changing alone. Writing them out shows behavior following from the structure of the situation rather than from anyone's values.

The race. Every AI company, and the United States and China, would be better off in a slower, more careful race. But whatever the other side does, each does better by racing: if the others slow down, racing wins; if the others race, slowing down loses. So everyone races, whatever they say about safety. This is the prisoner's dilemma. It is why capability keeps concentrating in a few hands and why no

company's stated values predict its behavior. Only an enforceable agreement changes it, and there is none.

Washington against the states. The executive branch wants one light national rulebook written with the companies; California and Massachusetts want their own protections. Whatever the states do, the executive's best move is to override them; whatever the executive does, the states' best move is to resist. The equilibrium is a standoff the courts and Congress take years to settle, which is the muddle as a waystation. It is the same fight as the old one over whether slavery could spread to the western territories, with federal preemption of state AI law in the role of the territories. An executive order last December created a Justice Department task force to sue the states, which joined a suit against Colorado's law in April; the Senate had voted 99 to 1 against a ten-year ban on state AI laws. I watch this fight more closely than anything else.

Open against closed. The company in the lead does better keeping its best models closed. The companies behind do better giving theirs away: it makes the leader's advantage worth less, wins developers, and sets standards. So the equilibrium is a closed frontier with a free tier a step behind, which is the world we have: the best free models trail the best closed ones by three or four months on capability measures and longer on the hardest tests. China, behind on the frontier and short of chips, is playing the laggard's move deliberately, and is therefore the strongest force toward the "cheap for everyone" ending. Whether it arrives depends on whether the gap closes and on who controls the computing, which is not free even when the models are.

The adopter's dilemma. Every company does better replacing workers with machines, whatever the others do. But if all do it, their customers' incomes fall and all are worse off than if none had. No company can fix this alone, because none is large enough for its own payroll to matter to its own sales. The only fix is a transfer system funded by everyone, which is to say the state. This is why the owners themselves will end up supporting a dole, under some name, and why the stable form of consolidation is the one with the dole in it.

The central bargain: a dole or a buyout

Put the four games together and everything reduces to one bargain between the owners and the people the machines displace. The owners can offer a dole, or they can be made to sell. I worked this through as a bargaining model: the owners choose how much lost income to replace; the displaced choose whether to accept or to organize. The owners' best move is to pay a dole just large enough to keep the displaced from organizing, because a dole is cheap next to giving up ownership. When the opposition is weak and divided, that dole is small and managed dependency is close to certain. As a crisis deepens and the opposition grows cohesive, the owners pay more to buy it off. A buyout happens only when the opposition is cohesive enough that even a generous dole cannot prevent it, and the owners prefer a sale to a fight.

That is the British story. In 1833 Parliament paid the slaveholders twenty million pounds, a loan not repaid until 2015, because a credible movement existed and the owners could be made to see a sale as better than a fight. The American story is what happens when the sale is refused: compensated emancipation was proposed repeatedly and rejected, and the owners defended the asset to destruction.

Two things follow. The owners have a direct interest in whatever makes the opposition less cohesive: an information environment they control, and a population split along lines of identity rather than class. Expect both to be worked on. And even the good ending has a trap in it. After our Civil War, abolition without redistribution of the land produced sharecropping and convict leasing within a generation, because the planters kept the land. A settlement that regulates how AI is used but leaves ownership where it is will be Reconstruction without the forty acres: useful, underfunded, and abandoned when attention moves on.

What would change my mind

1. **The preemption fight.** If Washington overrides the states, managed dependency arrives faster. If the states keep their authority, the muddle continues and the better endings keep a route open.
2. **Whether the opposition forms across class lines or splits on identity.** Displaced professionals and displaced blue-collar workers in one coalition is the condition for a restructuring. The same people set against each other is the owners' strategy working. The 2028 primaries are the first real read.
3. **The dependency ratio.** An "AI dividend" or an expansion of benefits means the managed arrangement is stabilizing. Transfers lagging while pay falls means the crisis route is live.
4. **Entry-level hiring**, which is also where a plateau in the technology would show first.
5. **The gap between the best free model and the best closed one**, and who controls the computing.

What would make me more optimistic: a visible plateau in what the machines can do, evidence that in-person and trust-based work is larger than I assume, the states keeping their authority, and a real public-ownership instrument in the policy debate. The government already holds stakes in Intel and in rare-earth and lithium companies; the tool exists, pointed at industrial policy rather than at the public.

What this means for someone in your position

Briefly, because the long letter has the rest. You are on the two sides that do well in the likely endings: the state side through Social Security, and the owning side through savings in the market. The people the mechanism squeezes are the ones who sell their work. In the simulation, a retired couple's real income in 2036 is about the same whether I am right or wrong.

Two risks are real. The crisis routes, about one chance in four together, include a stock market fall of 40 to 60 percent somewhere between 2030 and 2033; in all but the disorder ending it recovers within a few years, and at a 4 percent withdrawal rate nobody in the simulation runs out of money in any ending. The thing not to do is sell into it. And Social Security's retirement fund is projected to run short in late 2032, with an automatic cut of about 22 percent if Congress does nothing; Congress has always acted, usually late and partially. The sensible preparation is to be able to absorb a partial cut for a few years, and to have the plans and paperwork in place before any bad year arrives.

How this was written

With the help of an AI assistant, which built the simulation and the game analysis with me and drafted text I edited. It is made by one of the companies in the players table, and I set the "AI as its own actor" odds below my intuition for that reason. The odds are a starting point to be moved by the signals above, not a prediction; the sources are in the longer letter.